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BUSINESS PROMOTION AND DEVELOPMENT
BETWEEN EUROPE AND LATIN AMERICA

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MONTHLY REPORT

Trade, investment, and regulations
that are redefining the Europe-Latin
America corridor.

The Europe–Latin America corridor in August: the 5 key takeaways

August was a month of consolidation rather than major announcements: the EU–Mercosur agreement began to be read through the lens of practical implementation rather than ratification; Mexico combined a record high in foreign investment with the continued wait for its own legislative process vis-à-vis the EU; and lithium and copper affirmed themselves as one of the most concrete bridges between both regions. Below are the five points that defined the month.

1

The **EU–Mercosur** agreement moved from debate over its ratification to debate over its real impact: in Paraguay, industry groups and development banks are already analyzing value chains and concrete export opportunities under the new framework.

2

Mexico posted a **record US\$34.968 billion in FDI** in the first half of 2026 —the highest level ever recorded for a first half—, although Mexico still had to complete its own internal procedure for the Interim Trade Agreement with the EU to enter into force.

3

The European Commission imposed a **definitive 24.1% anti-dumping duty** on Mexican purified terephthalic acid, a reminder that a deeper trade relationship does not eliminate targeted trade-defense instruments.

4

The **European Investment Bank** announced a €250 million financing agreement with Banco do Brasil that will mobilize €500 million in microcredit for roughly 50,000 women entrepreneurs in the Amazon —the EU's Global Gateway strategy in action.

5

Mexico assumed the presidency of CAMMA (the Conference on Mining Ministries of the Americas) for 2026–2027, while Chile confirmed its strength in lithium with record results from SQM —two signals of the growing role of critical minerals in the relationship with Europe.

1. EU–Mercosur: from ratification to implementation

With South American member states having completed the notifications needed for provisional application (Argentina, Brazil, Paraguay, and Uruguay) and the agreement in provisional application since May 1, August marked a shift in tone: the conversation began moving from "will it be approved" to "how is it already affecting trade, value chains, and business opportunities" in each country of the bloc.

- In Paraguay, the Paraguayan Industrial Union, together with CAF —Development Bank of Latin America and the Caribbean—, organized the talk "EU–Mercosur Export Route: Strategies for Entering the European Market," identifying agribusiness, renewable energy, and manufacturing as the sectors with the greatest potential for value added under the new agreement.
- In parallel, foreign trade data show a broader diversification of Paraguay's export base: between January and July 2026, 75 products registered exports to new destinations, and eight of them were exported for the first time. While these flows cannot be directly attributed to the EU–Mercosur agreement, they illustrate a diversification trend that Paraguayan companies are looking to build on to take advantage of the new trade framework.
- The European legal front remains open but saw no developments in August: the European Parliament maintains its request for an opinion from the Court of Justice of the EU on the agreement's compatibility with EU treaties (a process that could extend into 2027), and Poland filed an annulment action against the provisional application. Neither front currently affects the validity of the trade pillar.

Why it matters

- The agreement is already generating concrete business conversation on the ground, not just institutional debate —the clearest sign that the implementation phase has already begun, even with the full legal architecture still pending.
- Brazil, Argentina, Paraguay, and Uruguay are entering a new phase of their economic relationship with Europe, with effects that will be felt unevenly depending on the country and sector.

Source: Prensa Mercosur, Paraguayan Industrial Union, CAF, European Parliament, Revista de la Secretaría del Tribunal Permanente de Revisión.

2. Mexico: record investment and a European relationship still on hold

Record FDI, but a composition worth a closer look

Mexico's Ministry of Economy reported that the country captured **US\$34.968 billion** in foreign direct investment in the first half of 2026 —a year-over-year increase of 2.1% and the highest level ever recorded for a first half since records began. Over five years, FDI has nearly doubled (+89.7% versus the first half of 2021).

- The composition of the record matters: **88.5%** (US\$30.957 billion) corresponded to reinvested earnings from already-established companies, while new investment accounted for just 7.8% (US\$2.726 billion) and intercompany accounts for 3.7%. This points to strong continuity among existing operations rather than a wave of new projects.
- Manufacturing captured the largest share, with **US\$13.482 billion** (38.6% of the total, +9.3% year-over-year), driven by computing, communications, and electronic components equipment.
- By origin, the United States remained the top investor (48.2%), but **Spain ranked second**, with US\$4.954 billion (14.2%), followed by Canada (5.0%), Australia (4.9%), and **Germany** in fifth place, with US\$1.647 billion (4.7%). Spain and Germany together account for close to 19% of the total —a reminder that Europe's presence in Mexico extends well beyond France.

FDI in Mexico by country of origin, first half of 2026



Own elaboration based on data from Mexico's Ministry of Economy.

The Interim Trade Agreement remains pending on Mexico's side

As of the end of August, Mexico had yet to complete its internal procedure for ratifying the Interim Trade Agreement. On the European side, the process was formally concluded in July, following approval by the European Parliament and the Council's decision. The European Commission indicated that Mexico was expected to complete its procedure after the summer. Once both parties notify each other of the completion of their internal procedures, the agreement will enter into force on the first day of the second month thereafter.

For companies, the next concrete step is therefore preparation: reviewing tariff exposure, public procurement eligibility, services and digital trade, rules of origin, and protection of geographical indications ahead of the new framework's entry into force.

The EU is a reminder that closer trade ties don't remove targeted friction

On August 7, the European Commission adopted Implementing Regulation (EU) 2026/1904, making definitive a **24.1% anti-dumping duty** on purified terephthalic acid (PTA) from Mexico —a key raw material for PET, used in bottles, packaging, and textile fibers. The measure, in force since August 11, described PTA as a "strategic product" for the EU, whose European market is valued at roughly €1.4 billion. South Korea received duties of between 6.1% and 13.3% in the same proceeding.

Why it matters

- Free trade agreements do not replace WTO trade-defense instruments: anti-dumping duties, safeguards, and countervailing duties can coexist with an increasingly open tariff relationship.
- For the investment ecosystem, it's a signal that deeper EU–Mexico integration will be selective rather than automatic, and that certain sectors will remain under specific trade scrutiny even once the ITA is in force.

Source: Mexico's Ministry of Economy, European Commission (Official Journal of the EU, Regulation 2026/1904), Infobae, Expansión, Excélsior.

3. France–Mexico: a more institutional than investment-driven month

Unlike July —marked by the opening of new Safran facilities in Querétaro and Chihuahua—, August did not bring a French investment announcement of comparable scale. The main update on this front was institutional and calendar-related, within the framework of the bicentennial of diplomatic relations.

- The program for **France Week 2026** was confirmed: it will run from October 19 to 25, organized by CCI France México, and will close with the France–Mexico B2C Festival on October 24–25 in Chapultepec Forest (Aztlán) —the first time the event has had confirmed dates and a venue.
- France Week's agenda combines exclusive dinners, thematic forums, and business gatherings focused on innovation, industry, and sustainability, in addition to the festival open to the public.

France's economic footprint in Mexico remains part of the backdrop: more than 700 French subsidiaries and roughly 180,000 jobs generated, a figure that continues to be used as a reference pending confirmation of any update from a primary source.

Source: Embassy of France in Mexico, CCI France México, Infobae, Acento Noticias.

4. Critical minerals: the new strategic bridge between Europe and Latin America

Lithium and copper solidified in August as one of the most concrete axes of the relationship between the two regions—not only through corporate results, but through the institutional framework being built around them.

Chile: lithium is once again the main driver of results

- SQM, the world's second-largest lithium producer, reported **net income of US\$660 million** in the second quarter of 2026—a 646% jump versus the same period in 2025—with quarterly revenue of US\$2.468 billion. First-half net income reached US\$1.025 billion (+353.5%).
- The rebound was driven by higher prices and record quarterly lithium sales volume (more than 84,000 tonnes of lithium carbonate equivalent), partly fueled by demand from battery energy storage systems (BESS).
- In July, Nova Andino Litio submitted the environmental and technical documentation required for the Salar Futuro project, part of the SQM–Codelco partnership, with projected investment of approximately US\$3 billion to be deployed over about seven years once the corresponding approvals are obtained.

CAMMA: Mexico takes over the region's mining presidency

The XVI Annual Conference on Mining Ministries of the Americas (CAMMA) was held on August 26 at ECLAC headquarters in Santiago, Chile, with authorities from 12 countries taking part. Related activities continued on August 27 with ministerial authorities participating in a panel at the SONAMI Mining Summit 2026. ECLAC confirmed the handover of **CAMMA's pro tempore presidency to Mexico** for the 2026–2027 period. The conference was supported by the IDB Group, the Intergovernmental Forum on Mining (IGF), and the "Minerals for a Just Transition in Latin America and the Caribbean" project (MinJust), financed by the **European Union and Germany's Federal Ministry for Economic Cooperation and Development (BMZ)**.

Why it matters

- EU and German financing for the MinJust project confirms that lithium, copper, and other critical minerals are already a direct channel of institutional cooperation between the EU and the region, beyond traditional trade agreements.
- Mexico taking on the CAMMA presidency just as it also negotiates its own agreement with the EU and navigates the T-MEC review adds an extra layer of geostrategic relevance to its regional role in minerals.

Source: ECLAC, Reuters, Diario Financiero, Emol, Portal Minero, MineAcademy.

5. Regional outlook: Brazil, Colombia, and more

Brazil: the EU's Global Gateway translates into concrete financing

On August 31, the European Investment Bank (EIB Global) announced a €250 million financing agreement with Banco do Brasil, which will help mobilize a total of **€500 million** in microcredit for women-owned or women-led microbusinesses in the Legal Amazon —with an estimated reach of around 50,000 women entrepreneurs. The operation reinforces the EU–Brazil Green Deal, the bilateral strategic partnership, and Global Gateway priorities around sustainable development, gender equality, and financial inclusion in the Amazon region.

In parallel, on the bilateral (non-European) front, Presidents Sheinbaum and Lula held a video call on August 13 to follow up on the Pemex–Petrobras cooperation agreement on deep-water exploration in the Gulf of Mexico, signed in June —a reminder that Brazil is also an increasingly active regional partner for Mexico, alongside its relationship with Europe.

Colombia: thirteen years of an EU trade agreement, and a more diversified relationship

August 1 marked 13 years since the entry into force of the Colombia–EU trade agreement. The long-term track record shows a significant expansion of the export base: according to Analdex, with data available through 2024, the number of Colombian companies exporting to the EU rose from 1,606 in 2012 to 3,819, a 137.8% increase. At the same time, the export mix has diversified, although the relationship continues to face challenges around market concentration and trade deficits.

The Netherlands has established itself as the main entry point for Colombian exports into the European market, reinforcing its role as a logistics hub for Colombian products.

Pacific Alliance: Mexico exercises its pro tempore presidency

On August 20 and 21, National Coordinators of the Pacific Alliance met in Mexico City under Mexico's pro tempore presidency. As part of the agenda, Chile, Colombia, Mexico, Peru, and Costa Rica held the 5th meeting of the Working Group on Costa Rica's accession process, reviewing the status of outstanding technical work.

Spain: the agenda toward the Ibero-American Summit in Madrid begins to take shape

Institutional and business preparations continued at the end of August ahead of the **XXX Ibero-American Summit**, which Madrid will host on November 4–5, 2026.

Dates to watch

Early Sept.

4th round of T-MEC/USMCA negotiations in Washington

Oct. 19–25

France Week 2026 in Mexico (CCI France México)

Nov. 4–5

XXX Ibero-American Summit, Madrid

Source: EIB, Ministry of Foreign Affairs (Mexico), Pacific Alliance, Analdex, SEGIB, La Moncloa.

6. Counterpoint: T-MEC continues to set the pace from North America

July already covered the T-MEC review in detail; August only adds a brief update, useful as a counterpoint for understanding why the EU agreement is gaining relative weight for Mexico at this moment.

- The 3rd negotiating round (July 21–23) closed without agreed text, but with progress described as "constructive" on steel, aluminum, and the substitution of Asian imports. **A 4th round was confirmed for early September in Washington.**
- Ebrard indicated that talks had already resolved "the vast majority" of an initial list of 54 friction points raised by the United States; the main outstanding issue remains the regional content requirement for vehicles.
- There was no new Section 232 ruling in August, which is being read as a holding pattern ahead of the September round; Ebrard noted that Mexico remained attentive to the outcome of U.S. investigations under Section 301, particularly the one related to excess production capacity, given the possibility of new tariff measures.

The underlying message is unchanged from July: while T-MEC now moves into a scheme of annual reviews and keeps negotiations open on several fronts, the agreement with the EU—even as it awaits its own final step—offers Mexico an increasingly tangible diversification argument for European investors.

Source: USTR, AS/COA, Mexico Business News, The Rio Times, El Financiero.



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